CAPM alphas of 15 US factors, 1963-2026
OLS t versus posterior z
Theme
Dividend/price
Book/market
Cash flow/price
Earnings/price
Net share issues
Reversal 60-13
Investment
Market beta
Residual variance
Variance
Profitability
Accruals
Momentum 12-2
Size
Reversal 1-0
Value
Investment
Low risk
Profitability
Accruals
Momentum
Size
Short-term reversal
−0.2
0.0
0.2
0.4
0.6
0.8
0
2
4
Alpha, % per month (scaled)
OLS t-statistic (blue), posterior z (red)
OLS alpha, 95% confidence interval
Empirical Bayes posterior mean, 95% credible interval
1.96 (single test, 5%)
2.65 (Benjamini-Yekutieli, 5%)